

Sound Community Bank

4. POLICY ON CONFLICTS OF INTEREST, TRANSACTIONS WITH AFFILIATES AND LOANS TO INSIDERS

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I. Introduction

This Policy on Conflicts of Interest, Transactions with Affiliates and Loans to Insiders (the “Policy”) calls to the attention of the directors, officers and employees of Sound Community Bank (the “The Bank”):

- § the policies of The Bank on conflicts of interest and related party transactions;
- § specific regulatory restrictions on extensions of credit and other transactions involving persons and companies that are affiliated with The Bank and its affiliates, which The Bank must observe strictly; and
- § related record-keeping, disclosure and approval requirements for related party transactions, which must be met by The Bank.

All directors and executive officers should receive and read a copy of this Policy and execute the acknowledgment form on the last page. The executive officers of The Bank should ensure that all other officers and the non-officer employees of The Bank whose responsibilities include matters within the scope of the Policy also receive and read a copy of this Policy. *It is important to note that certain terms used in this Policy have technical definitions in the federal regulations or are specially defined herein. Those definitions are included in Section X of this Policy.*

II. Conflicts of Interest In General

All directors, officers and employees of The Bank, and others (such as affiliates of The Bank), which are in a position to direct the management or policies of The Bank, or otherwise owe a fiduciary duty to The Bank, do the following:

- § not advance their own interests (business or personal), or those of others with whom they have a business or personal relationship, at the expense of The Bank;
- § disclose to the Board of Directors of The Bank (the “Board”) all material non-privileged information relevant to a decision by the Board on a matter or transaction in which they (and, to the extent known to them, persons with whom they have a personal or business relationship) have an interest, including the nature and extent of the interest and the facts known about the matter or transaction, and
- § not participate in the Board’s discussion of any such matter or transaction, and, as to directors of The Bank, not vote on that matter or transaction.

It is not possible to list every practice or condition that may give rise to a conflict of interest. At a minimum, The Bank’s directors, officers and employees must act in good faith only on behalf of The Bank, exercising their appropriate care and loyalty to The Bank. The Bank’s directors, officers and employees must not act on behalf of themselves or any third parties, especially in transactions that are at the expense of The Bank or that constitute self-dealing or self-serving practices. In addition, these individuals must avoid any appearance of a conflict of interest. All directors, officers and employees should notify the President of The Bank (or such other person as the President may designate) of any known or potential conflicts of interest.

Transactions between The Bank and its affiliates are subject to special rules, described below, which limit such transactions and require that the terms of such transactions be as favorable to The Bank as would apply in a transaction with a non-affiliate. Loans and extensions of credit to insiders are also subject to special rules described below, which impose certain limits and requirements on such loans.

III. Restrictions on Transactions With Affiliates¹

The types and amounts of transactions between The Bank and its affiliates (as defined in Section X below) are restricted as described below. For purposes of these restrictions, The Bank includes its subsidiaries, and a subsidiary generally is not deemed an affiliate, unless it is a depository institution or as otherwise indicated in the definition of affiliate below. In addition, to the extent that the proceeds of a transaction with a non-affiliate are used for the benefit of or are transferred to an affiliate, such transaction is considered to be a transaction with that affiliate, except to the extent that one of the exemptions in 12 C.F.R. §223.16 (b) and (c) (which are not specifically described in this Policy) is in place.

Although under certain circumstances The Bank may properly reimburse an affiliate for expenditures made by the affiliate on The Bank's behalf, such as the payment of taxes, The Bank may not advance funds to the affiliate before they are needed by the affiliate, because advancing funds sooner provides the affiliate with the interest-free use of The Bank's funds. Such an advance is regarded by the OTS as an interest-free loan, which is improper because The Bank would not make such a loan to a non-affiliate.

A. Covered Transactions

Covered transactions² consist of (i) extensions of credit (as defined in Section X below) to an affiliate; (ii) a purchase of an investment in a security issued by an affiliate; (iii) acceptance of securities issued by an affiliate as collateral for an extension of credit to any person or company; (iv) purchases of assets (including assets under an agreement to repurchase) from an affiliate;³ (v) guarantees, acceptances and letters of credit (including endorsements and standby letters of credit) issued on behalf of an affiliate; (vi) confirmations of a letter of credit issued by an affiliate; and (vii) a cross-affiliate netting arrangement (as defined in Section X below).

B. Quantitative Limits on Covered Transactions

Covered transactions of The Bank with any single affiliate may not exceed, in the aggregate, 10% of The Bank's unimpaired capital and surplus.

Covered transactions of The Bank with *all* affiliates may not exceed, in the aggregate, 20% of The Bank's unimpaired capital and surplus.

¹ Sections 23A and 23B of the Federal Reserve Act, Regulation W (12 C.F.R. Part 223), Section 11(a) of HOLA and 12 C.F.R. §563.41.

² 12 C.F.R. §223.3(h).

³ Unless specifically exempted from the category of covered transactions by order or regulation of the Board of Governors of the Federal Reserve System (the "Federal Reserve").

C. Safety and Soundness Requirement

Notwithstanding any authority it has to engage in a transaction with an affiliate, The Bank may not engage in any transaction with an affiliate that is inconsistent with safe and sound banking practices.

D. Collateral Requirement for Credit Transactions⁴

Each credit transaction (as defined in Section X below) with an affiliate must be secured at the time of the transaction by collateral with a market value equal to the amounts described below. The Bank must perfect an enforceable security interest in the collateral, which must be valid in bankruptcy, in order for the credit transaction to be considered secured. If this security interest in the collateral is not a first priority security interest, the value of the collateral, for purposes of meeting the required levels noted below, must be reduced by the lesser of the amount of any senior security interest or the amount of the credit secured by that senior security interest. Collateral that is retired or amortized must be replaced so as to maintain the required percentage of collateral market value relative to the outstanding credit. Low-quality assets (as defined in Section X below), securities issued by an affiliate, equity securities of The Bank, debt securities of The Bank that qualify as capital, intangible assets (including servicing assets) and guarantee issuances are not eligible collateral for meeting this requirement. The required collateral and market value percentages are as follows:

§ 100% of the credit if the collateral consists of (i) obligations of the United States or its agencies; (ii) obligations fully guaranteed as to principal and interest by the United States or its agencies; (iii) notes, drafts, bills of exchange or banker's acceptances eligible for rediscount or purchase by a Federal Home Loan Bank or Federal Reserve Bank, or (iv) a segregated, earmarked deposit account with The Bank;

§ 110% of the credit if the collateral consists of obligations of a State or political subdivision of a State;

§ 120% of the credit if the collateral consists of other debt instruments, including loans and receivables, or

§ 130% of the credit if the collateral consists of stock, leases or other real or personal property.

These collateral requirements *do not* apply to

§ an acceptance already fully secured by attached documents or other property involved in the transaction with an ascertainable market value;

§ the unused portion of an extension of credit to an affiliate, as long as The Bank does not have a legal obligation to advance additional funds under the extension of credit until the required collateral is provided, or

§ the purchase from a non-affiliate of a debt security in a bona fide secondary market transaction.

⁴ 12 C.F.R. §223.14.

E. No Purchase of Low-Quality Assets⁵

The Bank may not purchase a low-quality asset (as defined in Section X below) from an affiliate unless, pursuant to an independent credit evaluation, the commitment to purchase was made prior to the acquisition of the asset by the affiliate. The provision does not apply to the renewal of or an extension of additional credit with respect to The Bank's participation in a loan to a non-affiliate that was originated by an affiliate if:

- § the loan was not a low-quality asset at the time the participation was purchased;
- § the renewal or extension of additional credit is approved by the Board (or as otherwise permitted under 12 C.F.R. §223.15(2)(ii), as necessary to protect The Bank's investment by enhancing the ultimate collection of the debt;
- § The Bank's share of the renewal or extension of additional credit does not exceed its proportional share of the original indebtedness by more than 5 percent (or any higher level approved by the OTS), and
- § The Bank notifies the OTS about the renewal or extension of credit in writing within 20 days of consummation.

F. Additional Prohibited Covered Transactions⁶

The Bank may make an extension of credit directly to an affiliate, only if that affiliate engages *solely* in eligible affiliate activities (as defined in Section X below), which are those activities that are permissible for a bank holding company.

- § An extension of credit to a non-affiliate that benefits an affiliate not engaged solely in eligible affiliate activities is not prohibited by this restriction.
- § This prohibition includes a purchase of assets subject to the affiliate's agreement to repurchase the assets, unless the purchase involves the U.S. Treasury securities transactions or other asset purchases described in 12 C.F.R. §563.41(c)(1)(ii)(A-C).

The Bank may not purchase or invest in any securities issued by any affiliate, other than a subsidiary (including a subsidiary depository institution). In addition, when acting as fiduciary, The Bank may not purchase any assets from an affiliate (including securities), unless permitted by the instrument creating the fiduciary relationship, by court order or by the law governing the fiduciary relationship.

G. Valuation and Timing Principles for Credit Transactions⁷

In determining the application of the quantitative limits on covered transactions, credit

⁵ 12 C.F.R. §223.15.

⁶ 12 C.F.R. §563.41(c).

⁷ 12 C.F.R. §223.21.

transactions are initially valued at the greater of:

- \$ the principal amount of the transaction;
- \$ the amount owed by the affiliate, or
- \$ the sum of the amount already provided to and any amount required to be provided to an affiliate.

An outstanding credit transaction with an affiliate that is purchased or acquired from a non-affiliate is initially valued at the sum of the total consideration given (including liabilities assumed), plus any additional amounts required to be provided to the affiliate.

A credit transaction is deemed to occur at the time:

- \$ The Bank is legally obligated to make an extension of credit or issue a guarantee issuance;
- \$ The Bank enters into a cross-affiliate netting arrangement, or
- \$ The Bank acquires an extension of credit or guarantee issuance.

In general, The Bank is not permitted to purchase or invest in debt securities of an affiliate. This prohibition does not apply to debt securities of financial institution subsidiaries or any other subsidiary. The valuation and timing rules for permissible purchases or investments in debt securities of an affiliate are provided in 12 C.F.R. §223.23 (the details of which are not included in this Policy).

If The Bank has an outstanding credit transaction with a non-affiliate that becomes an affiliate, the treatment of that credit transaction under the quantitative and collateral requirements is governed by 12 C.F.R. §223.21(b)(2) (the details of which are not included in this Policy).

H. Valuation and Timing Principles for Asset Purchases⁸

Except for the transactions listed below, any asset purchased from an affiliate must be valued initially at the total amount of consideration (including assumed liabilities) given by The Bank; however, this valuation may be reduced to reflect amortization or depreciation inconsistent with GAAP.

- \$ Purchases of extensions of credit to an affiliate are valued as if they were a credit transaction.
- \$ Permitted purchases of debt securities of affiliates are governed by 12 C.F.R. §223.23.
- \$ Transfers of subsidiaries of an affiliate to The Bank, which became an operating subsidiary, are governed by 12 C.F.R. §223.31 (the details of which are not included in this Policy).

⁸ 12 C.F.R. §223.22.

- § Purchases from an affiliate of a line of credit, revolving credit facility or similar credit arrangement with a non-affiliate must be valued at the total consideration given by The Bank, plus any additional amounts that The Bank may be required to provide under the credit arrangement.

An asset purchase begins the day the asset is acquired and ends when The Bank no longer owns or holds the asset.

If The Bank purchases an asset from a non-affiliate in contemplation of that non-affiliate becoming an affiliate, the treatment of that asset purchase under the quantitative limits for covered transactions is governed by 12 C.F.R. §223.22(b)(2) (the details of which are not included in this Policy).

I. Valuation and Timing Principles for Extensions of Credit Secured by Affiliate Securities

If The Bank extends credit to a non-affiliate which is secured by debt or equity securities of an affiliate the valuation of that covered transaction is governed by 12 C.F.R. §223.24 (the details of which are not included in this Policy).

J. Exemptions from Certain Limits on Covered Transactions With Affiliates⁹

The covered transactions listed below are exempt from the quantitative limits and the collateral requirement, but continue to be subject to the safety and soundness requirement and the low-quality asset prohibition.

- § Any transaction between The Bank and any depository institution, if either entity owns or controls at least 80% of the voting securities of the other, or if the same company controls at least 80% of the voting securities of both of them.
- § The purchase of loans by The Bank from an affiliated depository institution without recourse.
- § A purchase assets from an affiliate (including an operating subsidiary acquisition described below) in connection with a transfer of securities issued by an affiliate to The Bank, which is part of an internal corporate reorganization of a holding company and otherwise meets all the requirements in 12 C.F.R. §223.41(d)(1)-(7).
- § The purchase of certain marketable securities from an affiliate that is an SEC registered or Federal Reserve approved broker dealer which otherwise meets the requirements in 223.42(f)(1)-(6).

The covered transactions listed below are exempt from the quantitative limits, the collateral requirements and the low quality asset prohibition, but are still subject to the safety and soundness requirement.

⁹ 12 C.F.R. §§223.41-43.

- \$ Correspondent banking deposits by The Bank in an affiliated depository institution that represents an ongoing, working balance maintained in the ordinary course of correspondent business.
- \$ Immediate credit extended by The Bank to an affiliate for uncollected items received in the ordinary course of business.
- \$ Extension of credit to an affiliate to the extent it is and remains secured by obligations of, or fully guaranteed by, the United States and its agencies or a segregated, earmarked deposit amount at The Bank for the sole purpose of and identified as securing credit transactions with affiliates.
- \$ The purchase of any securities of an affiliate engaged solely in the services listed in 12 U.S.C. §1843(c)(1).
- \$ The purchase from an affiliate of assets with a readily identifiable and publicly available market quotation and purchased at or below the current quotation, which otherwise meets the requirements of 12 C.F.R §223.42(f).
- \$ The purchase of municipal securities from an affiliate that is an SEC registered or Federal Reserve approved broker dealer which otherwise meets the requirements in 223.42(g)(i)-(3).
- \$ The purchase from an affiliate of an extension of credit originated by The Bank and previously sold to that affiliate subject to a repurchase agreement or under recourse.
- \$ The purchase of assets from an affiliate by any *de novo* financial institution subsidiary of The Bank, if the *de novo* regulator approves the purchase in writing.
- \$ The acquisition of assets or extensions of credit from an affiliated financial institution, if approved under the Bank Merger Act.
- \$ Purchasing extensions of credit from an affiliate on a nonrecourse basis, if the other requirements 223.42(k) are met.¹⁰
- \$ Intraday (or one business day) extensions of credit to affiliates, if the other requirements of 223.42(l) are met.
- \$ The purchase of a security from an affiliate that is SEC registered or Federal Reserve approved broker dealer, if The Bank or affiliate acts exclusively as a riskless principal in the transaction and the security is not issued, underwritten or sold (as other than a riskless principal).

The Bank may request an exemption from any imposed requirement or limitation on its transactions with affiliates by submitting a written request to the General Counsel of the Federal Reserve, which describes the transaction and affiliate relationship in detail and explains why an exemption is appropriate and is in the public interest and consistent with Section 23A.

¹⁰ This constitutes the exception in former Federal Reserve regulation 250.250.

K. Special Covered Transactions

If The Bank acquires the securities of an affiliate for consideration (including an assumption of liabilities), and as a result of that acquisition, the affiliate becomes an operating subsidiary of The Bank, that transaction will be treated as a purchase of assets subject to the valuation rules and step transaction exemption in 12 C.F.R. §223.31 (the details of which are not included in this Policy).

A derivative transaction includes any derivative contract listed in sections III.E.1.a. through d. of Appendix A to 12 C.F.R. Part 225 and any similar derivative contract, including a credit derivative contract. If The Bank engages in any derivative transaction with an affiliate, the transaction must meet the market terms requirement described below. Prior to entering into any derivatives with an affiliate, The Bank must establish policies and procedures reasonably designed to manage any credit exposure from such transactions in a safe and sound manner, including ensuring compliance with the market terms requirement described below and monitoring and controlling the credit exposure from derivative transactions with any one affiliate and all affiliates in the aggregate (including specific credit limits, mark-to-market procedures and collateral requirements). In addition, in any credit derivative between The Bank and a non-affiliate, by which The Bank provides credit protection for an affiliate's obligations, shall be treated as a guarantee on behalf of an affiliate. The following agreements are deemed to be credit derivatives providing credit protection for an obligation of an affiliate:

- § The Bank, for a fee, agrees to compensate a non-affiliate for any default of the underlying obligation of an affiliate, or
- § The Bank, in exchange for payments based on the total return of the underlying obligation of the affiliate, agrees to pay the non-affiliate a spread over funding costs plus any depreciation in the value of the underlying obligation of the affiliate.

If The Bank purchases an asset from one affiliate in a transaction that is subject to an exemption noted above but the continued ownership of the purchased asset by The Bank is a covered transaction with a different affiliate, which does not qualify for any exemption, the transaction is only exempt as to the purchase of the asset. All the covered transaction limits will continue to apply as to the holding of the asset.¹¹

L. Market Terms Requirement for Transactions With Affiliates¹²

All the transactions with affiliates listed below must be on terms and under circumstances, including credit standards, that are substantially the same as or at least as favorable to The Bank as those prevailing at the time for comparable transactions with parties that are not affiliates or, in the absence of comparable transactions, on terms and under circumstances, including credit standards, that in good faith would be offered to parties that are not affiliates:

¹¹ 12 C.F.R. §223.71.

¹² Section 23B of the Federal Reserve Act and 12 C.F.R. §223.51-.52.

- \$ any covered transaction (except for certain exempt transactions identified in 12 C.F.R. §223.52(a)(1));
- \$ sale of a security or other asset to an affiliate, including an asset subject to an agreement to repurchase;
- \$ the payment of money or the furnishing of a service to an affiliate under contract, lease or otherwise; and
- \$ any transaction in which an affiliate acts as an agent or broker or receives a fee for its services to The Bank or to any other person.

This market terms requirement also applies to any transaction or series of transactions by The Bank with a non-affiliate if:

- \$ any affiliate has a financial interest in the non-affiliate;
- \$ any affiliate participates in the transaction or series of transactions, or
- \$ any proceeds of the transaction are used for the benefit of or are transferred to any affiliate.

M. Prohibited Purchases of Assets as Fiduciary¹³

The Bank is prohibited from purchasing, as fiduciary, any security or other asset from an affiliate, unless the purchase is permitted under the instrument creating the fiduciary relationship, by court order or by the law of the jurisdiction governing the fiduciary relationship.

The Bank is prohibited from knowingly purchasing or otherwise acquiring, as principal or fiduciary, any security during the existence of any underwriting or selling syndicate, if an affiliate is a principal underwriter of the security.¹⁴

N. Prohibited Advertisements and Agreements¹⁵

The Bank and its affiliates may not publish any advertisement or enter into any agreement stating or suggesting that The Bank will in any way be responsible for the obligations of its affiliates. This restriction does not prohibit The Bank from entering into a guarantee issuance or cross-affiliate netting arrangement that otherwise merits all the requirements of this Part III of this policy or from making reference to guarantee issuance a cross-affiliate netting arrangement, if otherwise required by law.

¹³ 12 C.F.R. §223.53

¹⁴ For purposes of this “principal underwriter” means any underwriter in a primary distribution of securities who (i) is in privity of contract with the issuer or any affiliated person of the issuer; (ii) initiates or directs, along or with others, the formation of an underwriting syndicate, or (iii) is allowed a greater rate of gross commission, spread or other profit greater than another underwriter in the distribution.

¹⁵ 12 C.F.R. §223.54.

IV. Restrictions on Loans to Insiders¹⁶

A. Extensions of Credit to Insiders

Subject to the restrictions listed below, The Bank (including its subsidiaries and any company it controls) may make an extension of credit (as defined in Section X below) to a director, executive officer (as defined in Section X below) or any other insider (as defined in Section X below) of The Bank or an insider of an affiliated company (as defined in Section X below).¹⁷ These extensions of credit to insiders must be made only:

- § upon substantially the same terms (including interest rate and collateral) as comparable transactions with persons who are not insiders or employed by The Bank;
- § following credit underwriting standards not less stringent than those prevailing for, comparable transactions with persons who are not insiders or employed by The Bank, and
- § if the extension of credit does not involve more than normal risk of repayment or present other unfavorable features to The Bank.

These restrictions do not apply for extensions of credit to insiders in accordance with a benefit or compensation program involving any extension of credit that is widely available to The Bank employees, or, in the case of insiders of an affiliated company, to employees of that affiliated company, and that does not give preference to insiders over other employees of The Bank or the affiliated company.

These restrictions on extensions of credit to insiders of an affiliated company do not apply if: (i) the affiliated company does not control (as defined in Section X below) The Bank and does not have assets constituting 10% or more of the consolidated assets of The Bank's ultimate parent holding company, and (ii) the specific insider does not participate in major policy-making functions of The Bank and is excluded from doing so by resolution of The Bank's Board or the bylaws of The Bank.

A participation in an extension of credit sold by The Bank without recourse is no longer an extension of credit by The Bank.

B. Prior Board Approval

Prior approval of a majority of the entire Board (excluding any interested director) is required for any extension of credit (including a line of credit) to an insider of The Bank or an insider of an affiliated company, if aggregate extensions of credit to such person (including related interests (as defined in Section X below) of such person) exceed either: (i) the greater of \$25,000 or 5% of The Bank's unimpaired capital and surplus (as defined in Section X below), or

¹⁶ Sections 22(g) and (h) of the Federal Reserve Act, 12 C.F.R. Part 215, Section 11(b) of HOLA and 12 C.F.R. §563.43.

¹⁷ Note in the definitions that for purposes of the restrictions on loans to insiders, executive officer includes the Chairman of the Board.

(ii) \$500,000. No interested party may participate directly or indirectly in the Board's discussion, deliberations or voting on the credit, which includes any attempt to influence the voting. Board approval of a line of credit for an insider is valid for 14 months.

C. Additional Limits on Amounts and Purposes of Extensions of Credit to Executive Officers of The Bank¹⁸

Extensions of credit to an executive officer of The Bank must be of a type The Bank can make to other borrowers and are restricted to the following amounts and purposes:

- § any amount for the purpose of financing the education of the officer's children;
- § any amount for the purpose of financing or refinancing the purchase, maintenance, construction or improvement of one residence (primary, secondary or vacation) owned by the executive officer, if secured by a first lien on that residence; provided, that only one such residence loan to each insider may be outstanding under this authority at any one time, and a refinancing is limited to the amount of the existing extension of credit, closing costs and any additional amounts for the maintenance or improvement of that residence;
- § in any amount, if the extension of credit is secured by permissible security (as defined in Section X below); and
- § up to 2.5% of The Bank's unimpaired capital and surplus in the aggregate (or \$25,000 if higher), but in no event exceeding \$100,000, for any other purpose.

In addition, loans to any partnership in which one or more of the executive officers of The Bank are partners or hold a majority interest shall be limited, per partnership, to 2.5% of The Bank's unimpaired capital and surplus (or \$25,000 if higher), but in no event more than \$100,000. The total amount of any extension of credit to such a partnership shall be treated for purposes of the similar limitation on loans to individual executive officers as an extension of credit to each executive officer of The Bank who is a partner of the partnership.

Before any extension of credit can be made to an executive officer of The Bank, the officer must submit a current detailed financial statement. All extensions of credit to executive officers of The Bank must be reported promptly to the Board. The Bank must have in writing the right to demand immediate repayment of extensions of credit to an executive officer at any time at which that officer is indebted to one or more other The Banks or banks in an aggregate amount greater than the credit The Bank could extend to the officer for the same purpose.

Notwithstanding these limits on credit extended to an executive officer of The Bank, an executive officer may endorse or guarantee for the protection of The Bank any loan or other asset previously acquired by The Bank in good faith or may incur an indebtedness to The Bank for the purpose of protecting The Bank against loss or giving financial assistance to The Bank.

¹⁸ Section 22(g) of the Federal Reserve Act and 12 U.S.C. §215.5.

D. Overdrafts of Executive Officers and Directors¹⁹

The payment of an overdraft on the account of an executive officer or director of The Bank or an affiliated company of The Bank requires a written, interest-bearing, preauthorized credit plan that specifies a method of repayment or prior written authorization to transfer funds from another account of the executive officer or director at The Bank; provided, however, that inadvertent overdrafts not exceeding \$1,000 in the aggregate may be paid if the account is not overdrawn more than five business days and The Bank charges the same fee it charges to outside customers in similar circumstances.

E. Limit on Extension of Credit to One Insider²⁰

The limit on extensions of credit to any one insider of The Bank or an affiliated company (including all related interests of such an insider) is The Bank's general lending limit, which is 15% of The Bank's unimpaired capital and surplus for loans not fully secured by readily marketable collateral²¹ and an additional 10% of unimpaired capital and surplus for loans fully secured by readily marketable collateral.²²

F. Aggregate Limit on Extensions of Credit to Insiders

Aggregate extensions credit to all insiders of The Bank and its affiliated companies (including all related interests of such persons) must not exceed The Bank's unimpaired capital and surplus. This limit does not apply to extensions of credit secured by permissible security.

If The Bank has deposits of less than \$100 million, the Board, in an annual resolution, may increase this aggregate limit up to two times The Bank's unimpaired capital and surplus if:

- § the Board determines this higher level is consistent with prudent, safe and sound banking practices, in light of The Bank's experience in insider lending, and is necessary to attract or retain directors or prevent restricting credit in small communities;
- § the Board resolution sets forth the facts and reasoning underlying the Board's decision and the percentage of unimpaired capital and surplus currently outstanding in extensions of credit to insiders;
- § The Bank at least meets all applicable fully phased-in capital requirements, and
- § The Bank received a satisfactory composite rating in its most recent report of examination.

¹⁹ 12 C.F.R. §215.4(e).

²⁰ 12 C.F.R. §215.4(c).

²¹ To be readily marketable, collateral must have a market value determined by reliable and continuously available price quotations.

²² Statutory exceptions to this general lending limit in 12 U.S.C. §84 continue to apply for purposes of this limit on loans to insiders.

If the Board authorizes this higher lending amount and The Bank subsequently fails to meet the required capital or exam rating requirement, no further extensions of credit to insiders may be made if the aggregate of all such extensions of credit outstanding is more than The Bank's unimpaired capital and surplus.

G. Responsibility of Insiders²³

No executive officer, director or principal shareholder (as defined in Section X below) of The Bank or any affiliated company shall knowingly receive or shall knowingly permit that person's related interests to receive, directly or indirectly, any extension of credit from The Bank not in compliance with these restrictions on loans to insiders.

V. Kickbacks²⁴

No officer, director, employee, agent or attorney of The Bank may solicit or receive on behalf of himself, herself or any third party (other than The Bank) anything of value from any person for or in connection with any transaction, business or confidential information of The Bank, whether before or after the consummation of a transaction, except for *bona fide* salary, wages, fees or other compensation paid or reimbursed in the ordinary course of business. Violation of this prohibition can be a criminal offense, and subject to punishment by imprisonment and a fine. Questions about whether an item may be accepted should be directed to the President of The Bank or such person as the President may designate. Generally speaking, the following items are *not* prohibited:

- § acceptance of gifts, gratuities, amenities or favors based on obvious family or personal relationships (such as those with parents, children or spouse) when circumstances make it clear that the motivating factor is those relationships, rather than the business of The Bank;
- § acceptance of meals, refreshments, travel arrangements or accommodations, or entertainment, all of reasonable value, in the course of a meeting or other occasion, the purpose of which is to hold *bona fide* business discussions or to foster better business relations; provided, however, that the expense would be paid for by The Bank as a reasonable business expense if not paid for by another party;
- § acceptance of loans from other financial institutions on customary terms to finance proper and usual activities, such as home mortgage loans;
- § acceptance of advertising or promotional material of reasonable value such as pens, pencils, note pads, key chains, calendars and similar items;
- § acceptance of discounts or rebates on merchandise or services that do not exceed those available to other customers;

²³ 12 C.F.R. §215.6.

²⁴ 18 U.S.C. §215; Guidelines for Compliance With the Federal Bank Bribery Law, 52 Fed. Reg. 43941 (1987).

- § acceptance of gifts of reasonable value related to commonly recognized events or occasions, such as a promotion, new job, wedding, retirement, Christmas or bar or bat mitzvah, and
- § acceptance of civic, charitable, educational or religious organizational awards for recognition of service and accomplishment.

If any officer, director, employee, agent or attorney of The Bank is offered or sent something of value by a customer or prospective customer of The Bank beyond what is authorized herein, that officer, director, employee, agent or attorney must disclose such offer or delivery to the President of The Bank or such person as the President may designate. The President or the President's designee shall maintain written records of these disclosures, which will be periodically reported to the Board.

VI. Prohibited Tie-ins²⁵

The Bank may not in any manner extend credit, lease or sell property of any kind, or furnish any service, or fix or vary the price or other consideration for any of the foregoing, on the condition or requirement:

- § that the customer obtains additional credit, property or service from The Bank, or from any subsidiary or affiliate of The Bank, other than a loan, discount, deposit, or trust service;
- § that the customer provide additional credit, property or service to The Bank, or to any subsidiary or affiliate of The Bank, other than those related to and usually provided in connection with a similar loan, discount, deposit, or trust service, or
- § that the customer not obtain some other credit, property or service from a competitor of The Bank, or from a competitor of any service corporation or affiliate of The Bank, other than a condition or requirement that The Bank reasonably imposes in connection with credit transactions to assure the soundness of credit.

In addition, The Bank shall not extend credit or otherwise participate in any sale of real property that will be purchased with the assistance of a federally related mortgage (as defined in Section X below), if The Bank knows the seller of the property required the purchaser to buy title insurance from a particular title company.

VII. Recordkeeping and Reporting Requirements

A. Records of Transactions With Affiliates²⁶

The Bank shall establish a list of its affiliates, and management shall cause such list to be updated at least annually. The Bank must maintain records of all transactions with affiliates (including transactions with non-affiliates, the proceeds of which are transferred to or used for

²⁵ 12 U.S.C. §1464(q) and §2608.

²⁶ 12 C.F.R. §563.41(c)(3).

the benefit of an affiliate). Such records must identify the affiliate; whether the affiliate is engaged solely in eligible activities; the dollar amount of the transaction; whether at the time of the transaction such amount is within the limits on aggregate transactions with that affiliate and with all affiliates; whether a low-quality asset is involved; whether the collateral requirements for such transaction apply, and, if so, the type and amount of collateral. Such records must also demonstrate how the transaction qualifies as being on substantially the same terms and conditions, including credit standards, as would apply to a non-affiliated party in a comparable transaction (or in the absence of a comparable transaction, terms and conditions that The Bank would offer in good faith to such a party).

B. Identification of Insiders and Related Interests²⁷

At least annually, the President of The Bank (or such person as he may designate) shall prepare a record of all insiders of The Bank and the related interests of such persons. The insiders of The Bank shall review this record for completeness and accuracy.

Annually, The Bank shall require the insiders of The Bank to report their respective related interests. Each insider must report any changes to such reports annually, if such changes occur during the year.

The Bank shall identify insiders of its affiliated companies by (i) an annual survey of its affiliated companies and (ii) requiring that each borrower indicate whether he or it is an insider of an affiliated company of The Bank.

C. Disclosures to the Public On Request²⁸

Upon receipt of a written request from a member of the public, The Bank shall disclose to the requestor the name of each executive officer and principal shareholder (and related interests of either) to whom any correspondent bank of The Bank had outstanding at any time during the previous calendar year, extensions of credit that equal or exceed the lesser of 5% of The Bank's unimpaired capital and surplus or \$500,000 when aggregated with all outstanding credits to the same executive officer or principal shareholder and such person's related interests; provided, however, no disclosure is required if the aggregate amount of all these extensions of credit does not exceed \$25,000. The specific amounts of individual credits are not required to be disclosed. The Bank must maintain a copy of any such request and the disposition of it for two years from the date of the request.

VIII. Usurpation of Corporate Opportunity²⁹

Directors and officers of The Bank, and other persons with the power to direct The Bank's management or policies, or who otherwise owe a fiduciary duty to The Bank, must not take advantage of corporate opportunities belonging to The Bank. A corporate opportunity belongs to The Bank if it is within the corporate authority of The Bank or a subsidiary of The

²⁷ 12 C.F.R. §215.8.

²⁸ 12 C.F.R §§215.11 and 215.23.

²⁹ 12 C.F.R. §563.201.

Bank and is of present or potential practical advantage to The Bank. If a disinterested and independent majority of The Bank's directors reject the opportunity as a matter of sound business judgment, after a full and fair presentation of the matter, the OTS will not deem a person to have taken advantage of a corporate opportunity of The Bank.

IX. Notice and Sanctions

This Policy shall be distributed to all directors and officers of The Bank and all directors and executive officers of any affiliated company, and to each new director upon election or appointment and each new officer upon his or her employment or promotion. Each director or officer receiving a copy of this Policy, or any amendments thereto shall sign and date the last page of this Policy and return it to the President or the President's designee.

Violations of this Policy and the related federal laws and regulations referenced in Section XI could jeopardize the good standing and financial health of The Bank. The Board views any such violations with utmost concern and may take disciplinary action for such violations. Directors who are found to have willfully violated those laws or regulations may be required (i) to return to The Bank any benefits received, and (ii) to resign from the Board. Officers who are found to have willfully violated those laws or regulations (i) may be required to return to The Bank any benefits received, and (ii) shall be subject to dismissal.

X. Definitions

A. Affiliate³⁰

The term "affiliate" means the following:

- § any company that (i) controls The Bank, or (ii) is controlled by a company that controls The Bank;³¹
- § a bank or The Bank subsidiary of The Bank;
- § any company (i) that is controlled directly or indirectly, by a trust or otherwise; by or for the benefit of shareholders who beneficially or otherwise, directly or indirectly, by trust or otherwise, control The Bank or a company that controls The Bank, or (ii) in which a majority of its directors, general partners or trustees constitute a majority of the persons holding any such office with The Bank or a company that controls The Bank;
- § any company, including a real estate investment trust, that is sponsored and advised on a contractual basis by The Bank or any subsidiary or affiliate of The Bank; or any investment company with respect to which The Bank or any affiliate thereof serves an investment adviser as defined in §2(a)(2) of the Investment Company Act of 1940, 15 U.S.C. §80a-2(a)(2);

³⁰ 12 C.F.R. §§223.2 and 563.41(b)(1). In referring to the provisions of Regulation W, the term "financial subsidiary" does not apply, as provided in 12 C.F.R. §563.41(b)(2).

³¹ See the definition of "control" for purposes of transactions with affiliates.

- § any partnership for which The Bank or an affiliate serves as a general partner or for which The Bank or affiliate causes any of its directors, officers or employees to serve as a general partner;
- § any company held under merchant banking or insurance company authority as described in more detail in 12 C.F.R. §223.2(a)(9);
- § any subsidiary of any of the above; and
- § any company (i) that the OTS or the Federal Reserve determines by regulation or order to have a relationship with The Bank or any subsidiary or affiliate of The Bank so as to be an affiliate, or (ii) that the OTS determines, by order or regulation, to present a risk to the safety or soundness of The Bank.

The following shall not be considered to be an affiliate: (i) any company engaged *solely* in holding the premises of The Bank; (ii) any company engaged *solely* in conducting a safe deposit business; (iii) any company engaged *solely* in holding obligations of the United States or its agencies or obligations fully guaranteed by the United States or its agencies as to principal and interest, and (iv) for a limited time, any company where control results from the exercise of rights arising out of a *bona fide* debt previously contracted. In addition, any company, other than a bank or The Bank, that is a subsidiary of The Bank shall not be considered an affiliate unless: (i) the subsidiary also is directly controlled by one or more affiliated companies; (ii) the subsidiary also is directly controlled by one or a group of controlling shareholders of The Bank; (iii) the subsidiary is an employee stock option plan, trust or similar organization that exists for the benefit of the shareholders, partners, members or employees of The Bank or any affiliated company, or (iv) the subsidiary is otherwise determined to be an affiliate by the OTS or the Federal Reserve.

B. Affiliated Company³²

The term “affiliated company” means any company of which The Bank is a subsidiary or any other subsidiary of that affiliated.

C. Company³³

The term “company” means a corporation, partnership, trust (business or otherwise), association, sole proprietorship, joint venture, unincorporated organization or other business entity. It generally includes financial institutions for purposes of transactions with affiliates (unless specifically excluded) and excludes financial institutions for purposes of loans to insiders.

D. Control³⁴

For purposes of transactions with affiliates, the term “control” means directly or

³² 12 C.F.R. §215.2(a).

³³ 12 C.F.R. §215.2(b). See also 12 CFR §563.41 (b)(6).

³⁴ 12 C.F.R. §215.2(c) and 563.41(b)(6).

indirectly, or acting through one or more other persons, the ownership, control or the power to vote 25% or more of any class of voting securities of The Bank or any other company. Control also includes being deemed or presumed (without an acceptable rebuttal) to be in control under 12 C.F.R. Part 574, which is, generally, ownership, control or the power to vote 10% of any class of voting securities and requires the combination of the holdings of certain persons, including family members. Control does not include owning or controlling shares in a fiduciary capacity, unless the shares are held by a business trust or are held for the benefit of the controlling shareholders of The Bank or affiliated company.

For purposes of loans to insiders, the term “control” means ownership, control or the power to vote 25% or more of any class of voting securities of The Bank or any other company, the power to control the election of a majority of directors or the power to exercise a controlling influence over the management or policies of that entity, in each case acting directly or indirectly or in concert with others. A person is presumed, subject to rebuttal, to have control of an entity if he or she (i) is a director or an executive officer of such entity and directly or indirectly controls or has the power to vote more than 10% of any class of voting securities of the entity, or (ii) directly or indirectly controls or has the power to vote more than 10% of any class of voting securities of the entity and no other person controls or has the power to vote a greater percentage of that class of voting securities.

E. Credit Transaction³⁵

The term “credit transaction” with an affiliate means an extension of credit to an affiliate, a guarantee issuance or a cross-affiliate netting arrangement.

F. Cross-Affiliate Netting Arrangement³⁶

The term “cross-affiliate netting arrangement” means an arrangement among The Bank, one or more of its affiliates and any number of non-affiliates in which:

- § any non-affiliate is permitted to deduct any obligations of The Bank’s affiliates when settling obligations owed to The Bank, or
- § The Bank is permitted or required to add obligations of its affiliates to a non-affiliate when determining obligations owed to the non-affiliate.

G. Eligible Affiliate Activities³⁷

The term “eligible affiliate activities” means activities of an affiliate of The Bank that is engaged *solely* in those activities permissible for a bank holding company as described in 12 U.S.C. §1467(c)(2)(F)(i) and 12 C.F.R. §584.2-2. These listed activities consist primarily of:

- § making, acquiring, brokering or servicing loans or other extensions of credit;

³⁵ 12 C.F.R. §223.3(i).

³⁶ 12 C.F.R. §223.3(j).

- \$ appraising real estate and personal property;
- \$ arranging commercial real estate financing as intermediary if the company and its affiliates do not have an interest in managing or developing the real estate and do not promote or sponsor its development;
- \$ providing check guaranty services;
- \$ providing collection agency and credit bureau services;
- \$ providing certain asset management, servicing and collection activities for third parties (but not real property management or real estate brokerage);
- \$ acquiring debt in default (within certain restrictions);
- \$ providing real estate settlement services;
- \$ leasing personal or real property as agent, broker or adviser if the lease is non-operating and has an initial term of at least 90 days and in the case of real estate meets certain other criteria;
- \$ operating an industrial loan company or The Bank;
- \$ performing trust company functions;
- \$ acting as an investment advisor or providing securities brokerage services solely as agent for customers, whether or not including investment advisory services (but not including underwriting or dealing), and certain riskless principal, private placement, future commission and other transactional services;
- \$ underwriting and dealing in U.S. governmental securities;
- \$ engaging in foreign exchange and certain futures and swaps transactions, and buying and selling certain precious metals;
- \$ providing management consulting advice to unaffiliated depository institutions (subject to certain interlocks restrictions) and, to a limited extent, to others;
- \$ providing employee benefits consulting services;
- \$ providing career counseling services relating to financial organizations;
- \$ providing courier services for certain documents exchanged among banks;
- \$ providing printing and selling checks and certain related documents;
- \$ underwriting and selling credit insurance on credit extended by The Bank and its affiliates, limited to repayment of the balance due in the event of death, disability or involuntary unemployment of the borrower;

- \$ acting as agent or broker for credit insurance on credits issued by a finance company affiliate limited to \$10,000 (or \$25,000 in the case of a manufactured home loan) payable in the event of loss or damage to collateral, and subject to certain other restrictions;
- \$ engaging in certain community development activities including development of housing, services or jobs in loan income areas;
- \$ issuing and selling money orders, savings bonds and traveler's checks, and
- \$ providing data processing services for financial, banking and economic data, and, to a limited extent, other data processing services.
- H. Executive Officer³⁸

The term "executive officer" means a person, other than a director, who participates or has the authority to participate in major policymaking functions, whether or not such person has an officer title or receives compensation. The Chairman of the Board, the Chief Executive Officer, the President, any Vice President, the Secretary and the Treasurer of The Bank or any affiliated company are deemed to be executive officers, *unless* by resolution of the Board or the bylaws of The Bank or the affiliated company, such person is excluded from participating in major policymaking and does not actually participate in any major policymaking functions.

I. Extension of Credit³⁹

For purposes of transactions with affiliates, the term "extension of credit" means, without limitation, the following:

- \$ making or renewing any loan;
- \$ granting a line of credit;
- \$ an advance by means of an overdraft, cash item, or otherwise;
- \$ a sale of Fed funds;
- \$ the acquisition by discount, purchase, exchange or otherwise of any note, commercial paper, debt security, or other obligation of an affiliate;
- \$ a lease that is the functional equivalent of an extension of credit;
- \$ any increase in the amount, extension of the maturity or adjustment of the interest rate or other material term of an outstanding extension of credit;
- \$ any other extending of credit in any matter whatsoever (including on an intraday basis), and

³⁸ 12 C.F.R. §215.2(e).

³⁹ 12 C.F.R. §§215.3 and 223.3(c).

§ any other similar transaction as a result of which an affiliate becomes obligated to pay cash or its equivalent.

For purposes of loans to insiders, the term “extension of credit” means the following:

- § making or renewing any loan;
- § granting a line of credit;
- § the purchase under a repurchase agreement of securities, assets or obligations;
- § an advance by means of an overdraft, cash item or otherwise;
- § the issuance of a standby letter of credit (or similar arrangement) or an ineligible acceptance (as defined in 12 C.F.R. §208.24);
- § an acquisition by discount, purchase, exchange or otherwise of any note, draft, bill of exchange or other evidence of indebtedness upon which an insider may be liable as maker, drawer, endorser, guarantor or surety;
- § an increase of an existing indebtedness (excluding additional funds advanced by the bank for its own protection for accrued interest, taxes, insurance or other incidental expenses);
- § an advance of unearned salary or other unearned compensation for an excess of 30 days;
- § extending credit in any matter whatsoever, and
- § any other similar transaction as a result of which a person becomes obligated to pay cash or its equivalent, directly or indirectly, in any manner whatsoever.

Notwithstanding this definition, extension of credit to an insider specifically excludes:

- § any advances against accrued salary or other compensation or for business travel;
- § the receipt of a check deposited in or delivered in the usual course of business (unless it results in carrying a cash item or an impermissible overdraft);
- § the acquisition of a note, draft, bill of exchange or other evidence of indebtedness in a merger transaction with another depository institution or in a foreclosure on collateral (with a three year limit or OTS approval of an extension);
- § an endorsement or guarantee for the protection of an asset acquired by The Bank in good faith;
- § any indebtedness for the purpose of protecting The Bank against loss or providing it financial assistance;
- § indebtedness of up to \$15,000 in connection with credit plans or programs described in 12 C.F.R. §225.3(b)(5);
- § overdrafts of up to \$5,000 that are otherwise permissible under this Policy;

- § any discount of promissory notes, bills of exchange, conditional sales interests or similar paper without recourse;
- § non-interest bearing deposits to the bank's credit, and
- § credits upon uncollected items received in the ordinary course of business.

An extension of credit to an insider is deemed to be made when The Bank or affiliate enters into a binding commitment to extend credit. In addition, any extension of credit to a third party is deemed to be an extension of credit to an insider to the extent the proceeds are transferred to an insider or are used for the tangible economic benefit of the insider (unless the third party extension of credit is not on preferential terms and is used in a *bona fide* transaction to acquire property, goods or services from the insider. A participation sold by The Bank without recourse is not an extension of credit by The Bank.

J. Federally Related Mortgage Loan

The term “federally related mortgage loan” means any loan secured by a lien on one-to-four-family residential property or any loan to repay such a loan (other than temporary financing such as a construction loan), which is made by an FDIC-insured or federally regulated lender or is otherwise made, insured, guaranteed or assisted in anyway by any officer, agency of the federal government or is intended to be sold to FNMA, FHLMC or GNMA.

K. Guarantee Issuance⁴⁰

The term “guarantee issuance” means any issuance of a guarantee, acceptance or letter of credit, including an endorsement or standby letter of credit, on behalf of an affiliate and any confirmation of a letter of credit issued by the affiliate.

L. Immediate Family⁴¹

For purposes of the restrictions on loans to insiders, the term “immediate family” means the spouse of an individual, the individual's minor children and any of the individual's children of any age residing in the individual's home.

M. Insider

The term “insider” means any director, executive officer or principal shareholder and any related interest of such a person.

⁴⁰ 12 C.F.R. §223.3(h)(5).

⁴¹ 12 C.F.R. §215.2(g).

N. Low-quality Asset⁴²

The term “low-quality asset” means an asset classified as doubtful, substandard or loss, or treated as “special mention” or “other transfer risk problems” in The Bank’s or affiliate’s most recent report of examination or inspection or that is treated as “classified” or special mention in The Bank’s or affiliate’s internal classification system; an asset in non-accrual status; an asset as to which payments of principal or interest are more than 30 days past due; an asset whose terms have been renegotiated or compromised due to deteriorating financial condition of the obligor; or an asset acquired through foreclosure, repossession or otherwise in satisfaction of a debt previously contracted, which has not been reviewed in an examination or inspection.

O. Permissible Security

The term “permissible security” means (i) a perfected security interest in obligations of the United States or fully guaranteed as to principal or interest by the United States or an agency of a corporation wholly owned by the United States; (ii) unconditional takeout commitments or guarantees of any department, agency, board or establishment of the United States or corporation owned by the United States; (iii) a perfected security interest in a segregated deposit amount in The Bank, or (iv) consumer installment paper acquired from the borrowing insider in accordance with 12 C.F.R. §215.4(d)(3)(i)(D).

P. Principal Shareholder⁴³

The term “principal shareholder” means an individual or company (other than an insured financial institution) that, directly or indirectly, or acting in concert with one or more others, including but not limited to members of an individual’s immediate family (as defined above), owns, controls or has the power to vote more than 10% of a class of the voting stock of The Bank or of a company that controls The Bank. However, a company of which The Bank is a subsidiary is not considered a principal shareholder of The Bank.

Q. Related Interest⁴⁴

The term “related interest” means with respect to a person or entity, (i) a company controlled by that person or entity, or (ii) a political or campaign committee that is controlled by that person or company or the funds or services of which will benefit that person or entity.

R. Unimpaired Capital and Surplus⁴⁵

The term “unimpaired capital and surplus” means the aggregate of The Bank’s Tier 1 and Tier 2 capital plus the balance of its allowance for loan and lease losses not included in Tier 2 capital and the amount of outstanding loans, investments and advances to any subsidiaries not

⁴² 12 C.F.R. §223.3(v).

⁴³ 12 C.F.R. §215.2(m).

⁴⁴ 12 C.F.R. §215.2(n).

⁴⁵ 12 C.F.R. §§563.41(b)(5) and 563.43(f).

included in calculating Tier 1 capital, based on the most recent Thrift Financial Report filed with the OTS.

XI. Referenced Laws, Regulations and Policies

The following laws and regulations are referred to in this Policy:

A. Federal Laws

- § Section 22(g) of the Federal Reserve Act (Loans to Executive Officers), 12 U.S.C., §375a
- § Section 22(h) of the Federal Reserve Act (Prohibition on Insider Loans), 12 U.S.C. §375b
- § Section 23A of the Federal Reserve (Banking Affiliates), 12 U.S.C. §371c
- § Section 23B of the Federal Reserve Act (Restrictions on Transactions with Affiliates), 12 U.S.C. §371c-1
- § Section 5(q) of the Home Owners' Loan Act (Tying Arrangements), 12 U.S.C. §1464(q)
- § Section 10 of the Home Owners' Loan Act (Regulation of Holding Companies), 12 U.S.C. §1467a
- § Section 11 of the Home Owners' Loan Act (Transactions with Affiliates, Insider Loans), 12 U.S.C. §1468
- § Section 215 of the U.S. Criminal Code (Receipt of Commissions or Gifts for Procuring Loans), 18 U.S.C. §215
- § Section 2608 of the Real Estate Settlement Procedures Act (Title Companies; Liability of Seller), 12 U.S.C. §2608

B. Federal Regulations

- § 12 C.F.R. Part 215 (Regulation O – Insider Loans)
- § Regulation W (Transactions Between Member Banks and Their Affiliates), 12 C.F.R. Part 223
- § 12 C.F.R. §563.41 (Transactions with Affiliates)
- § 12 C.F.R. §563.43 (Loans by The Banks to Their Executive Officers, Directors and Principal Shareholders)
- § 12 C.F.R. §563.200 (Conflicts of Interest)
- § 12 C.F.R. §563.201 (Corporate Opportunity)

C. Policies

§ Guidelines for Compliance with the Federal Bank Bribery Law, 52 Fed. Reg. 43941 (1987)

XII. Revisions

At least annually, the Board of Directors of The Bank shall review this Policy and revise it if appropriate to conform to current laws and regulations.

Sound Community Bank

Acknowledgment and Agreement

I hereby acknowledge receipt of the Sound Community Bank “Policy on Conflicts of Interest, Transactions with Affiliates and Loans to Insiders,” dated June 23, 2013 (the “Policy”).

I have read and understand the Policy and agree to be governed by such Policy so long as I serve as a director or officer of Sound Community Bank. I understand that failure to comply with the Policy may result in sanctions as noted in Section IX of the Policy.

Signature

Print Name

Date

Position at Sound Community Bank

[Please sign and return to The Bank]